ALTURA HOUSEHOLD CONVERGENCE STRATEGY

Detailed Cost, Feasibility Analysis & Presentation Slides Content

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Executive Summary

This report provides the detailed strategic and financial justification for the Altura Household Convergence solution, combining our inbound cross-selling models with proactive outbound poaching engines. We have modeled Altura's capital layout, subscriber acquisition costs (CAC), and operational cost structures using specific metrics. To support your pitch, we present the exact slide contents for Slide 2 (Solution) and Slide 3 (Feasibility Analysis) to ensure a highly rigorous, competitor-aware presentation.

Key Financial Takeaway: Acquiring a cohort of 1,000 competitor switcher customers requires a total upfront setup and acquisition outlay of **■63.30 Lakhs** (■4,800/HH subsidized hardware + ■1,530/HH CAC & MNP rebates). This cohort crosses the break-even payback threshold in **8.6 Months** (inclusive of the 3-month ■999 promo). The transition to standard ■1,499/mo pricing yields a weighted EBITDA margin of **27.47%**, generating **■1.15 Crores in net cohort EBITDA profit** by Month 24 (after fully amortizing the ■20 Lakhs portal development cost).

1. Competitor Mapping & Outbound Reachout Strategy

To win subscribers from Reliance Jio (broadband-first ecosystem) and Vodafone Idea (Vi) (limited convergence capability), Altura must solve the psychological barriers associated with switching. Our outbound engine focuses on:

Strategic Outbound Vectors

- **Doorstep MNP in 15 Minutes:** We leverage in-home service engineers (who have the lowest CAC of ■150 for mobile and lowest decay of 12%). Technicians are equipped with activation apps to execute mobile number porting on-site during fiber installation.
- **Switcher's Contract Rebate:** A contract buyout rebate of ■500 is credited on the user's first bill to offset switching penalties.
- **Smart Security Network Failover:** Pitching the Altura Xsafe smart camera's cellular network fallback as a technology moat solving the Single Point of Failure (SPOF) anxiety.

Competitor Comparison Matrix

Feature / Metric	Reliance Jio (Broadband Focus)	Vodafone Idea (Vi) (No Fiber)	Altura Communications (Ours)
Convergence Offer	Broadband + TV + OTT bundles	Partnership-only (No owned Fiber)	Broadband + TV + Mobile SIMs + Bank + Xsafe Security
Security Moat	JioFiber Camera (unintegrated)	No home security products	Xsafe AI Camera with cellular failover backup
Loyalty Program	JioPrime coupon partner network	Vi Rewards app checkouts	Altura Thanks Coins (bill cashbacks)
Bank Integration	Standard UPI wallet payment apps	Paytm/Third-party tie-ups	Payments Bank account (7.0% interest + Safe Pay)

2. Slide 2 Content: The Convergence Solution

Use the following literal text layout, bullet points, and key takeaways for Slide 2 in your presentation deck:

Slide Title: Altura Home: A Frictionless, Dual-Engine Ecosystem for Household Convergence

Slide Sub-headline: Consolidating existing customers while aggressively poaching competitor subscribers at their doorstep.

Inbound Engine (Ecosystem & Portal):

- **Tiered Bundled Convenience:** Rebranding separate services into 4 value-driven tiers (Starter, Connect, Family Secure, Infinite) bundling fiber, mobile postpaid lines, smart DTH TV, Payments Bank, Google One, and home security under a single billing account.
- **Build-Your-Own-Bundle Customizer:** Interactive calculator showing real-time monthly billing savings and loyalty coins to dismantle the customer's Utility-Arbitrage Bias.
- **AirBot AI digital Concierge:** Chatbot-guided onboarding assistant that takes user family profiles (household size, priorities) and recommends the optimal package instantly, cutting setup friction.

Outbound Engine (Poaching Jio/Vi Users):

- **Doorstep MNP in 15 Minutes:** Equipping field service technicians (lowest CAC of ■150 and lowest decay rate of 12%) with MNP activation applications to verify competitor SIM status and execute instant, friction-free number port-in at their doorsteps.
- **Switcher's Contract Rebate:** Waiving switching friction via a ■500 one-time first-bill cashback credit to buyout contract termination penalties.
- **Security Network Failover:** Promoting Altura Xsafe smart camera's cellular network failover backup to solve Single Point of Failure (SPOF) anxiety.

Key Strategic Takeaway:

Competitor subscribers do not switch for discounts alone; they switch when you physically remove setup dread and contractual barriers at their doorstep while offering integrated hardware failover utility.

3. Illustrative Cost Breakdown & Modeling Assumptions

To validate the cohort projections, we cataloged Altura's one-time capital expenditures (Capex), Customer Acquisition Costs (CAC), and monthly recurring operating costs (Opex) per subscriber as illustrative unit economics:

Illustrative One-Time Capex & CAC Costs (Assumed)

Cost Type / Item	Cost (■)	Mapped Channel	Business Strategic Purpose
Capex: Portal Development	■20,00,000	All Channels	One-time PM, UX, front-end build, AirBot NLP, & API integrations
Capex: ONT Wi-Fi Router	■1,500	Broadband Setup	Dual-band hardware provisioned for customer (waived upfront)
Capex: Xstream Smart TV Box	■1,800	DTH / TV Setup	Smart Android 4K STB device provisioned (waived upfront)
Capex: Xsafe AI Camera	■1,500	Surveillance Setup	Security camera hardware provisioned (waived upfront)
CAC: Technician Labor	■300	In-Home Engineers	Technician visit fee for setup, configuration, and porting
CAC: SIM Card Provisioning	■80	Outbound SIM Delivery	Postpaid SIM manufacturing and secure profile provisioning
CAC: Switcher Rebate (Cashback)	■500	Outbound MNP	Contract buyout incentive credited on the user's first bill
CAC: Delivery Runner Fee	■100	Outbound SIM Delivery	Runner fee for delivering and activating SIM in 15 mins
CAC: Technician Commission	■50	In-Home Engineers	Incentive bonus paid to engineers for door-step MNP port-in
CAC: Marketing & Ads	■500	Digital / OOH	Local search ads, Google PMAX campaigns, and regional billboards

Monthly Recurring Operating Costs (Opex per Subscriber)

• **Broadband Bandwidth & Backhaul Opex:** ■100/mo. | • **Cellular Tower & Network Pool:** ■160/mo.
• **DTH Content Carriage Licensing Fees:** ■120/mo. | • **Google One Bulk License Royalty (200GB):** ■50/mo. (Assumed volume-negotiated enterprise licensing cost)
• **Xsafe AWS Cloud Storage Hosting:** ■40/mo. | • **Payments Bank Administration:** ■15/mo.
• **Thanks Coins Loyalty Program Cost:** ■50/mo. | • **Total Recurring Opex:** **■535/mo**.

5. Slide 3 Content: Illustrative Financial Feasibility (Based on modeling assumptions)

Use the following literal text layout, metrics, and key takeaways for Slide 3 in your presentation deck:

Slide Title: Illustrative Financial Feasibility (Based on industry benchmarks and internal planning assumptions)

Slide Sub-headline: Amortizing upfront hardware subsidies and MNP incentives through long-term subscriber retention.

Ecosystem Acquisition Costs (First Year)

- **Ecosystem Capex & CAC Outlay:** Waiving ■4,800 hardware Capex (router, smart box, camera) and absorbing ■1,530 acquisition CAC (technician, SIM, runner, ■500 MNP rebate, ads) results in a total upfront investment of **■6,330** per household.
- **Development Cost Amortization:** The ■20 Lakhs customizer/AirBot development cost is amortized to ■2,000 per customer based on the initial 1,000 cohort target, fully funded by cumulative cohort earnings.

Cohort Projections & Break-Even

- **Payback Period (8.6 Months):** Total setup and MNP CAC outlay is recovered in under 9 months. During the 3-month promo, EBITDA profit is ■414/mo per user (■999 promo - ■50 Autopay - ■535 Opex), and shifts to ■914/mo per user (■1,499 price - ■50 Autopay - ■535 Opex) from Month 4 onwards.
  • **Google One (200GB):** Modeled as an assumed volume-negotiated enterprise licensing rate (wholesale bulk transfer pricing rather than retail).
- **Cohort EBITDA Return (24-Month):** A cohort of 1,000 acquired switchers generates **■1.15 Crores in net cohort profit** by Month 24, including the amortization of the ■20 Lakhs portal development cost.

Lifetime Value (LTV) Churn Arbitrage

- **Retention Loop:** Consolidating services reduces annual churn from 22.0% (standalone) to 5.0% (bundled), extending relationship lifetime from 4.5 years to 20 years.
- **LTV Revenue Multiplier:** Multiplies lifetime household revenue by **5.06x** (from ■70,855 standalone to ■358,260 bundled).
- **Net EBITDA LTV Multiplier:** Multiplies lifetime EBITDA contribution by **4.82x** (from ■20,226 standalone to ■97,511 bundled), representing a **33.4x return (3,341% ROI)** on the initial ■6,330 acquisition investment.

Key Financial Takeaway:

Telecom convergence is financially highly viable. waiving hardware and contract buyout costs generates massive long-term value, as the initial ■6.3k customer outlay is recovered in 8.6 months and yields a 33.4x lifetime EBITDA return.

6. Cohort Budgeting & Payback Cash Flow Projections

Month-by-month cash flow simulation for a cohort of 1,000 acquired Jio/Vi switcher customers:

Month	Active cohort	Ecosystem Pricing & Opex Details	Revenue (■)	EBITDA Profit (■)	Cumulative Cash (■)
Month 0	1,000	Acquisition Outlay (Capex + CAC)	■0	-■6,330,000	**-■6,330,000**
Month 1	996	Promo: ■949/mo Net | Opex: ■535/mo	■945,000	■412,000	-■5,918,000
Month 2	992	Promo: ■949/mo Net | Opex: ■535/mo	■941,000	■410,000	-■5,508,000
Month 3	988	Promo: ■949/mo Net | Opex: ■535/mo	■937,000	■408,000	-■5,100,000
Month 4	984	Standard: ■1,449/mo Net | Opex: ■535/mo	■1,425,000	■899,000	-■4,201,000
Month 5	980	Standard: ■1,449/mo Net | Opex: ■535/mo	■1,419,000	■895,000	-■3,306,000
Month 8	968	Standard: ■1,449/mo Net | Opex: ■535/mo	■1,402,000	■884,000	-■650,000
Month 9	**964**	**Standard: ■1,449/mo Net (Payback)**	**■1,396,000**	**■880,000**	**+■230,000**
Month 12	951	Standard: ■1,449/mo Net | Opex: ■535/mo	■1,378,000	■869,000	■2,842,000
Month 24	904	Standard: ■1,449/mo Net | Opex: ■535/mo	■1,310,000	■826,000	**■11,544,000**

Note on Payback Period: The cohort pays back the initial setup and acquisition outlay in Month 9. Year 2 cohort cash flows accumulate to ■1.15 Crores, completely offsetting the initial ■20 Lakhs website and API portal development costs.